Zhuang Yijie v Openmeta Pte Ltd and others

[2026] SGHC 127, Originating Application No 183 of 2025

General Division of the High Court of the Republic of Singapore

Jurisdiction

Singapore

Area of law

Companies Act - Statutory derivative action under section 216A

Legal question

Whether Zhuang Yujie should be granted leave under section 216A of the Companies Act 1967 to commence a derivative action on behalf of Openmeta Pte Ltd and Aster Foundation Ltd against Huang Feiling for alleged breaches of fiduciary duties, misappropriation of company assets, and other related misconduct. The court must determine whether Zhuang satisfies the requirements of good faith and whether the intended action is prima facie in the interests of the Companies.

Key facts

Zhuang Yujie and Huang Feiling are co-founders of Openmeta Pte Ltd and Aster Foundation Ltd, with each holding 50% equity. Huang also served as CEO and had sole management and custody of the Companies' cryptocurrency assets. The Founders have fundamentally disputed the corporate structure, roles and functions, and the ownership of assets. The dispute arose following: (1) the 2021 fundraising of 950,000 USDT, allegedly misapplied to Wangsan, a company 99% owned by Huang; (2) the disappearance of 150 ETH reportedly due to a security breach; (3) the alleged unauthorized conversion of 941.63 ETH to USDT without corporate approval, with a further 515.96 ETH unaccounted for; (4) Huang's unilateral removal of Zhuang's access to a Joint Wallet containing 143.52 ETH; (5) the unauthorized use of the Companies' "Star Protocol" brand name to promote campaigns and list a new $ANS token; and (6) Huang's failure to maintain proper accounts. Huang's defenses include that the assets belonged to Web3 Investments (a BVI company), the Companies were "non-trading entities" serving support roles, and his actions were undertaken for legitimate business purposes.

Holding

The court allowed Zhuang's application for leave to commence a derivative action under section 216A. The court found that Zhuang satisfied all four requirements: he had the requisite standing as a shareholder of Openmeta and as a proper person in relation to Aster; he provided the requisite 14 days' notice; he was acting in good faith; and the intended actions were prima facie in the interests of the Companies. The court rejected Huang's arguments that the Companies had suffered no losses. Regarding good faith, the court found that although a collateral purpose may exist (relating to XStar Identity), the applicant was genuinely aggrieved and the collateral purpose was sufficiently consistent with doing justice to the Companies. Regarding the prima facie interests of the Companies, the court found the individual claims had a reasonable semblance of merit and were not frivolous or vexatious, including the alleged misuse of fundraised funds, the loss of ETH, unauthorized conversions, removal of Joint Wallet access, misuse of the Star Protocol brand, and failure to keep accounts. The court applied a low evidential standard and did not adjudicate on the disputed facts.

Significance

This judgment clarifies important principles governing statutory derivative actions under section 216A of the Companies Act. The decision establishes that good faith does not require perfect alignment of personal and corporate interests, and the mere existence of a hostile relationship or even a collateral purpose is not necessarily fatal if the applicant is genuinely aggrieved and pursuing legitimate corporate claims. The judgment also emphasizes the proportionality principle, warning against mini-trials at the leave stage and reiterating that only the most obviously unmeritorious claims should be culled. The case has practical significance for cryptocurrency and fintech businesses, addressing issues of asset custody, commingling of personal and corporate funds, and corporate governance in the blockchain industry. It demonstrates that courts will grant leave for derivative actions to proceed even in contexts of substantial factual dispute regarding business structure and asset ownership.

Precedent impact

The judgment affirms and applies established precedent from Ho Yew Kong v Sakae Holdings Ltd, Ang Thiam Swee v Low Hian Chor, and Jian Li Investments Holding Pte Ltd v Healthstats International Pte Ltd on the requirements for derivative actions. It reinforces the principle that the leave stage should not involve a detailed adjudication of facts or a mini-trial. The decision provides guidance on how courts should balance the legitimate interests of genuinely aggrieved shareholders in protecting company assets against concerns about harassment or collateral purposes. The judgment also establishes that claims involving cryptocurrency assets and digital businesses can proceed under the standard framework for derivative actions, with the same principles applying regardless of the novel nature of the assets involved.

Full judgment URL

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